Costco Wholesale Corporation

Costco Reports Second Quarter Fiscal 2026 Results

ISSAQUAH, WASHINGTON — March 18, 2026 — Costco Wholesale Corporation (Nasdaq: COST) today announced financial results for its fiscal 2026 second quarter ended February 22, 2026.

- Total revenue of $50.4 billion, up 8% year over year
- GAAP diluted EPS of $5.48
- Operating income of $1.6 billion, a 3.1% margin
- Comparable sales growth (ex gas, FX): 5.4%
- E-commerce comparable sales growth: 14.3%

“Q2 FY2026 was a steady quarter for Costco. Total revenue grew 8% to $50.4 billion, with Net sales - Other International up 11% on new openings in Japan, Korea and Spain,” said Ron Castellano, Chief Executive Officer. “Our teams delivered for customers and we enter the next quarter with momentum.”

“Operating cash flow was $1.5 billion and we returned $0.6 billion to shareholders through dividends and repurchases. Diluted earnings per share were $5.48,” said Gary Moreau, Chief Financial Officer.

Operating highlights

Comparable sales growth (ex gas, FX)	**5.4%**
E-commerce comparable sales growth	**14.3%**
Membership renewal rate (US and Canada)	**92.9%**
Paid members (millions)	**82.3**
Warehouses in operation	**927**

Net sales - United States revenue was $36.4 billion, up 7.3% compared with $34.0 billion in the prior-year period, reflecting comparable sales growth and new warehouse openings.

Net sales - Canada revenue was $6.8 billion, up 6.1% compared with $6.4 billion in the prior-year period, reflecting comparable sales growth and foreign exchange.

Net sales - Other International revenue was $5.9 billion, up 10.7% compared with $5.4 billion in the prior-year period, reflecting new openings in Japan, Korea and Spain.

Membership fees revenue was $1.2 billion, up 7.3% compared with $1.1 billion in the prior-year period, reflecting the September 2025 fee increase and a renewal rate above 90%.

Dividend

The Board of Directors declared a cash dividend of $1.16 per share of common stock, payable to shareholders of record as of the close of business in the second month of the coming quarter.

Conference call

Costco will host a conference call and webcast at 2:00 p.m. PT today to discuss these results. A replay will be available on the investor relations website for approximately two weeks.

Forward-Looking Statements

This release contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995, including statements about Costco's outlook, product plans, capital expenditures and capital return. These statements involve risks and uncertainties, and actual results may differ materially. Factors that could cause results to differ include those described under 'Risk Factors' in the Company's most recent Annual Report on Form 10-K and subsequent Quarterly Reports on Form 10-Q. The Company undertakes no obligation to update forward-looking statements.

About Costco

Costco operates membership warehouses in the United States, Canada and other international markets. The Company's fiscal year ends on the Sunday closest to August 31; the fourth quarter has 16 weeks.

Contacts

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CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Unaudited) (in millions, except per-share amounts)

	Three months ended Feb 22, 2026	Three months ended Feb 23, 2025	Three months ended Feb 22, 2026	Three months ended Feb 23, 2025
Total revenue	50,374	46,841	99,143	92,875
Merchandise costs	44,173	41,029	86,879	81,402
Operating expenses:				
Selling, general and administrative	4,634	4,309	9,121	8,545
Total operating expenses	4,634	4,309	9,121	8,545
Operating income	1,567	1,502	3,143	2,928
Interest income and other, net	50	47	99	93
Income before income taxes	1,617	1,549	3,242	3,021
Provision for income taxes	404	387	811	755
Net income attributable to Costco	1,213	1,162	2,432	2,266
Earnings per share:				
Basic	$5.51	$5.27	$11.05	$10.29
Diluted	$5.48	$5.24	$10.98	$10.23
Shares used in computing diluted EPS (thousands)	221,357	221,548	221,380	221,572
Cash dividends declared per share	$2.32	$2.32	$4.64	$4.64

Total revenue by segment (in millions)

Segment	Q2 FY2026	Q2 FY2025	Change
Net sales - United States	36,442	33,951	7.3%
Net sales - Canada	6,780	6,393	6.1%
Net sales - Other International	5,930	5,358	10.7%
Membership fees	1,222	1,139	7.3%
Total	**50,374**	**46,841**	**7.5%**

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions) (Unaudited)

	Feb 22, 2026	Aug 31, 2025
ASSETS		
Cash, cash equivalents and marketable securities	12,565	12,230
Accounts receivable, net	22,668	29,297
Inventories	5,037	6,510
Other current assets	4,030	5,208
Total current assets	44,301	53,246
Property, plant and equipment, net	28,814	37,240
Goodwill and intangible assets	45,337	58,594
Other non-current assets	17,631	22,787
Total assets	136,083	171,867
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	21,157	27,344
Other current liabilities	15,112	19,531
Total current liabilities	36,270	46,876
Long-term debt	6,000	6,000
Other non-current liabilities	68,060	94,032
Total liabilities	110,330	146,908
Total shareholders' equity	25,753	24,959
Total liabilities and shareholders' equity	136,083	171,867

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions) (Unaudited)

	Six months ended Feb 22, 2026	Six months ended Feb 23, 2025
Operating activities:		
Net income	2,432	2,266
Depreciation and amortization	1,091	1,022
Share-based compensation expense	397	372
Changes in operating assets and liabilities and other	(991)	(929)
Cash generated by operating activities	2,927	2,730
Investing activities:		
Payments for acquisition of property, plant and equipment	(2,181)	(2,043)
Purchases and maturities of marketable securities, net	(351)	(328)
Cash used in investing activities	(2,532)	(2,371)
Financing activities:		
Payments for dividends	(1,027)	(1,028)
Repurchases of common stock	(100)	(100)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(1,127)	(1,128)
Increase (decrease) in cash and cash equivalents	(732)	(769)